

Multiple Choice (10 marks)

1. Suppose the government has decided to combat inflation by raising taxes on disposable income. What specific type of inflation would this be used against?
 - (a) built-in inflation
 - (b) asset inflation
 - (c) monetary inflation
 - (d) wage inflation
 - (e) cost-push inflation
2. What are the three sources of money creation?
 - (a) Central banks, investment banks, insurance companies
 - (b) Foreign exchange, bonds, mutual funds
 - (c) Private businesses, government, factories
 - (d) United States Treasury, Federal Reserve Banks, commercial banks
 - (e) Commodity markets, sovereign wealth funds, state governments
3. For a given level of government spending the federal government usually experiences a budget _____ during economic _____ and a budget _____ during economic _____.
 - (a) surplus expansion surplus expansion
 - (b) deficit recession deficit expansion
 - (c) surplus expansion deficit recession
 - (d) deficit expansion deficit recession
 - (e) surplus expansion surplus recession
4. Economists construct models for use as tools in interpreting and predicting economic behavior. What are some of the dangers in the use of models?
 - (a) Over-simplification and over-reliance
 - (b) Increased data accuracy
 - (c) Reduced costs
 - (d) Faster decision-making
 - (e) Enhanced user interface friendliness
5. Which of the following will increase wages for tuba makers?
 - (a) A decrease in the cost of tuba-making materials

- (b) An increase in the number of graduates at tuba maker training school
- (c) An increase in the tax on tubas
- (d) An increase in the number of tuba maker training schools
- (e) An increase in the price of tubas

True / False (10 marks)

Answer True or False

6. True or False: If firms expect the future price of a product to decrease, they will decrease the supply of that product right now.
7. True or False: Regulating a monopoly to produce at the allocative efficient quantity would decrease the deadweight loss in the market.
8. True or False: The productivity of labor in country X is 75 percent higher than in country Z.
9. True or False: The correct answer to 'Consider the following equation and determine the class of model that it best represents $y_{it} = \alpha + \beta_{it} + \mu_i + \nu_{it}$ ' is 'A pure time series model'.
10. True or False: Goods X and Y are substitute goods, as indicated by a positive cross-price elasticity of +2.0.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of comparative advantage in the context of two goods, x and y. Analyze the implications of the statement that one can have a comparative advantage in producing both goods.
12. Discuss the time lags associated with economic stabilization policy, focusing on the decision lag and effect lag. Analyze their implications for policy effectiveness.

End of Paper